

Stablecoin summer: The emerging evolution in digital money

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Key takeaways

Stablecoins (digital tokens pegged to traditional assets) represent an epochal shift in monetary evolution with the potential to reshape the infrastructure of global finance.

As a building block in the digital-asset ecosystem, stablecoins unlock efficiencies in cross-border remittances, retail payments and future Artificial Intelligence (AI) driven machine-to-machine commerce.

US-listed companies in fintech, asset management, retail and technology stand to benefit from stablecoin adoption as these assets move from niche to mainstream.

A once-in-a-generation monetary shift

Many technological advances take decades to reshape industries and societies, making them easy to overlook?until, suddenly, the world changes. When it comes to money itself, however, real innovation is even more elusive. The story of monetary evolution is measured not in decades, but in millennia, with each leap?from cows (c. 6000 BC) to shells (c. 3000 BC) to coins (c. 600 BC) to banknotes to digital dollars?representing a profound societal turning point.

Today, we are in the early innings of another epochal shift. The emergence of stablecoins marks a simple yet profound leap forward. This is not a mere technical upgrade; it is the opening act of a new era for money and value exchange that has the potential to reshape profit pools and the very infrastructure of global finance.

What are stablecoins and why do they matter?

At their core, stablecoins are programmable, internet-native forms of money?digital tokens issued on blockchains and pegged 1:1 with fiat assets like the US dollar. They offer the stability of fiat currency combined with the speed and efficiency of blockchain technology.

Stablecoins serve as a bridge between the world of traditional finance and the burgeoning digital-asset ecosystem. By anchoring digital value to familiar currencies, stablecoins make the exchange of value as seamless as the exchange of information?moving money globally, 24/7, with near-instant settlement and programmable capabilities that legacy systems cannot match.

Consider the limitations of today?s financial rails: money wires are often confined to business hours, intermediaries extract value at every step, and cross-border money movement can drag on for days. In contrast, stablecoins operate globally around the clock, eliminating friction and reducing costs. Stablecoins are not simply another crypto novelty; they represent a platform shift in financial infrastructure. There are approximately US\$250 billion in stablecoins in circulation currently,¹a figure that continues to grow as adoption widens. US Treasury Secretary Scott Bessent recently commented that the stablecoin market could surpass US\$2 trillion within three years.

Unlocking new use cases

Stablecoins have rapidly become a foundational building block in the digital asset ecosystem, where they are predominantly used to facilitate trading and money transfers. But the potential is far broader, spreading into multiple large ?traditional finance? markets.

Cross-border remittances:With an estimated US\$300 billion profit pool (the total amount of profit that companies in the industry can potentially earn), cross-border payments remain high cost and high friction.²Stablecoins can dramatically reduce fees and processing times, making global money movement as simple as sending an email.

Capital markets and collateral management:The ability to instantly post, transfer or return collateral using stablecoins unlocks efficiency in a market with a US\$180 billion profit pool.³

Dollarization:One of the strongest areas of product/market fit for stablecoins is providing access to US dollars in

international markets. Stablecoins significantly reduce the cost and friction of accessing US dollars for global consumers and businesses, particularly those in unstable monetary environments. This helps extend the US dollar's position as the global reserve currency.

Retail payments: While the relative value proposition of stablecoins is stronger in other areas of traditional finance, they could gain traction in certain areas of retail payments, which represents a staggering US\$2.4 trillion profit pool.⁴

Agentic commerce: As AI agents become more sophisticated, machine-to-machine payments—where devices autonomously transact—will require programmable, digital-native forms of money. Stablecoins are uniquely positioned to power this future.

Why now: Regulatory tailwinds and market catalysts

The landscape for stablecoins is changing rapidly. Recent regulatory developments have provided much-needed clarity, unlocking growth and investor confidence.

GENIUS Act: A pivotal new framework for stablecoins has just passed the US Congress with bipartisan support. This provides a legal foundation and regulatory clarity around the issuance of stablecoins and paves the way for increased adoption of stablecoins within the financial system. Both digital asset and traditional finance companies are accelerating their stablecoin strategies following the passage of this monumental bill.

Circle's initial public offering (IPO): Circle, the issuer of USDC and the second-largest stablecoin player,⁵ held its IPO in June 2025. This milestone reflects both a validation of the stablecoin opportunity and the maturation of the crypto sector.

Adoption by major corporations: Companies like Walmart and Amazon are exploring stablecoin integrations, signaling that blue-chip corporates see both utility and inevitability in this new form of money.

As barriers fall, stablecoin adoption is poised to accelerate across global markets.

Who stands to benefit? US equities poised for growth

In our view, the regulatory support for the crypto industry in the United States stems from an underlying desire to ensure that the United States becomes the world's crypto capital. As stablecoins move from niche to mainstream, a range of US-listed companies stand to benefit from their growth and adoption.

Crypto-native firms and other digital asset platforms are at the forefront of stablecoin issuance, custody and integration. The pipeline for US IPOs in the digital asset universe is burgeoning.

Payment networks and platforms are actively developing stablecoin settlement capabilities and services, ensuring their continued relevance in a world where digital money moves 24/7.

Financial infrastructure providers, through partnerships and testing, are positioning themselves to capture the next wave of collateral management and capital markets innovation powered by stablecoins.

Asset managers and banks are launching stablecoin-based products, services and custody solutions to tap into new revenue streams and deepen client engagement.

Retailers and large technology platforms are seeking to leverage stablecoins to lower transaction costs and improve customer experiences globally.

Conclusion

We are witnessing the dawn of a new money platform—one that will make value exchange as seamless, programmable and global as the transfer of information itself. While evolution takes time in financial services and adoption hurdles remain, stablecoins are not a passing fad. They are a structural innovation, with the potential to democratize access to financial services and unlock vast profit pools. As the regulatory landscape becomes clear, adoption is moving from the edges to the mainstream. Stablecoin summer has just begun.

EndNotes

Sources: CoinGecko and DefiLlama. July 17, 2025.

Source: Circle Internet Group. June 2, 2025. Based on cross-border revenues in 2023.

Source: Circle Internet Group. June 2, 2025. Based on global markets capital revenue in 2023.

Sources: Circle Internet Group and McKinsley Global Payments Report 2024. June 2, 2025.

Source: Bankrate. July 11, 2025. Tether, issuer of USDT, is the largest issuer of stablecoin.

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